

is because we all desire a reserve of funds to fall back on in emergencies. But if the securities in which savings are invested in this way cannot be readily sold whenever their owner wishes, one of the most important advantages of thrift has been nullified.

BASIC FUNCTION

By organizing the security market, by maintaining elaborate wire systems to all parts of the country and likewise an almost instantaneous ticker system for dispatching and printing current quotations, the New York stock exchange is able to attract bids and offers for its listed issues from all parts of the nation and even from beyond its borders. Without this organization and these facilities which it maintains, the actual negotiability of listed securities would prove as uncertain and undependable as that for issues not admitted to the exchanges but dealt in "over the counter."

Always highly important, this factor of negotiability has been of vital significance during the most trying periods of the depression. At times when no other form of property was in fact readily salable, security holders could always avail themselves of the security market to obtain cash. The task of thus holding the stock exchange open and keeping it functioning has not always been an easy one, yet curiously enough the stock exchange authorities have sometimes been bitterly assailed by shortsighted persons at the very time when the free and open securities market, which they were maintaining under great difficulties, stood almost alone in the path of a wholesale moratorium of credit.

Another function of the stock exchange which is frequently misunderstood has to do with the prices established on its floor. Sometimes, when the trend of security prices does not please particular groups or individuals, they are apt to take the stock exchange itself to task for it. This is thoroughly